

Consider opportunity costs

Peter Mallouk, CEO of Creative Planning, a \$345 billion registered investment advisor, observes: “I look at each position I own regularly and ask ‘Would I buy this today?’ If the answer is no, I sell.” He adds, “Investors should not forget their goal is to see capital grow, not merely return to break even.”

Listen to what the market is telling you

Nicholas Colas, co-founder of DataTrek Research, advises against fighting the tape: “Never buy a new low or short a new high.” Stepping in front of that momentum can become an expensive error—a lesson he learned as a portfolio manager at SAC Capital. “When a stock is in free fall you wait days (if not weeks) for it to stabilize. And when it makes a new high every day, if you must short, short small.”

Counterintuitively, Colas notes the trade in Bear Stearns was, “LUCKY to get back to flat. This is a cautionary story, not one of success.”

Always have an exit strategy

J.C. Parets, the well-regarded market technician and founder of the All Star Charts, says all portfolio holdings should be treated as capital: “If this was a trade sitting in cash, would you buy this stock, or is there something else you would do with it?”

Parets observes what he describes as an obvious but overlooked strategy: “Always know where you’re getting out before you even get in.” This includes having a sell discipline for both winning and losing trades. The key to successful trading is managing your exits regardless of how the trade turns out. “Markets don’t care what your cost basis is,” he says.